

MARCH 2026

CREDIT MARKET INDICATOR

A comprehensive measure of
retail lending health trends

TransUnion^{tu} CIBIL

Content

1

Overall Credit
Market Conditions

2

Demand and
Supply Trends

3

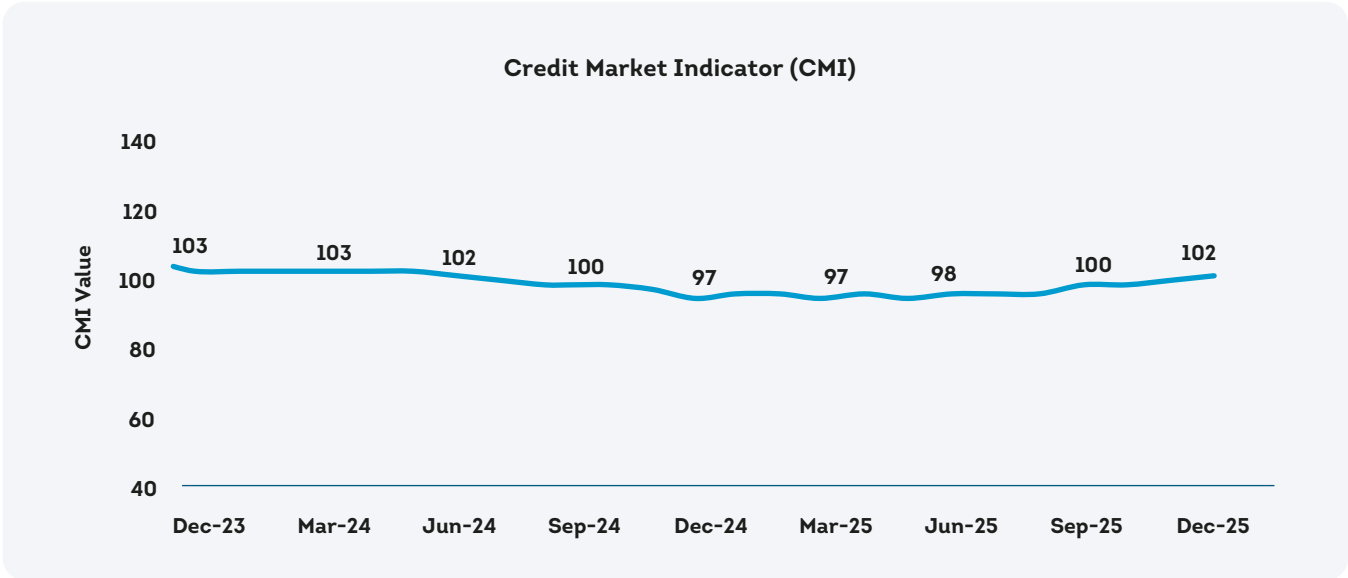
Changes in Consumer Behavior
and Credit Performance

OVERALL CREDIT MARKET CONDITIONS

Boost in retail supply with growth noted in first-time-borrowers, especially in younger consumers segment; robust growth seen in Gold loans value with shift to larger ticket sizes over time

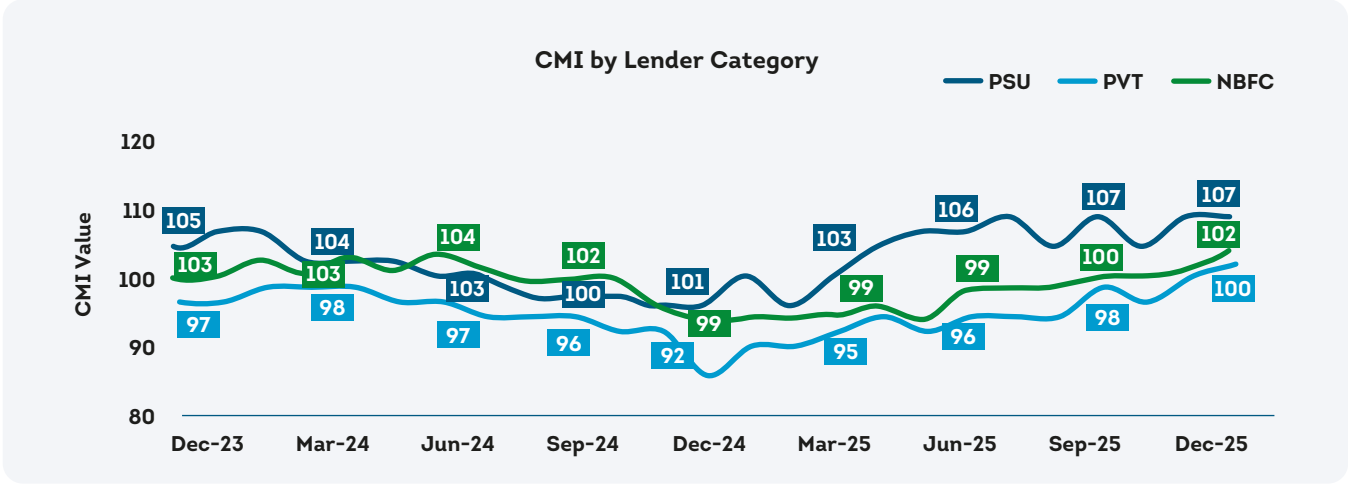
Key Highlights

- Retail credit supply, which strengthened the following rollout of GST 2.0, has moderated after the festive season, returning to levels comparable with the end of 2024. The seasonal decline indicates a normalization of short-term demand.
- Gold Loan origination value doubled year-over-year, supported primarily by a sharp rise in underlying gold prices during the December 2025 quarter. Higher asset valuations expanded borrowing capacity, enabling larger ticket sizes even without a proportional rise in borrower volumes.
- Younger consumers continue driving First-time-Borrowers (FTB) segment posting above average year-over-year growth rates especially in Personal Loans and Consumer Durable Loans.



Dec 2025 CMI value is provisional and subject to revision as additional data get reported to the TransUnion CIBIL credit bureau

CMI for PSU continues to lead with 6 points year-on-year improvement in December 2025 owing to strong balance growth and improved performance



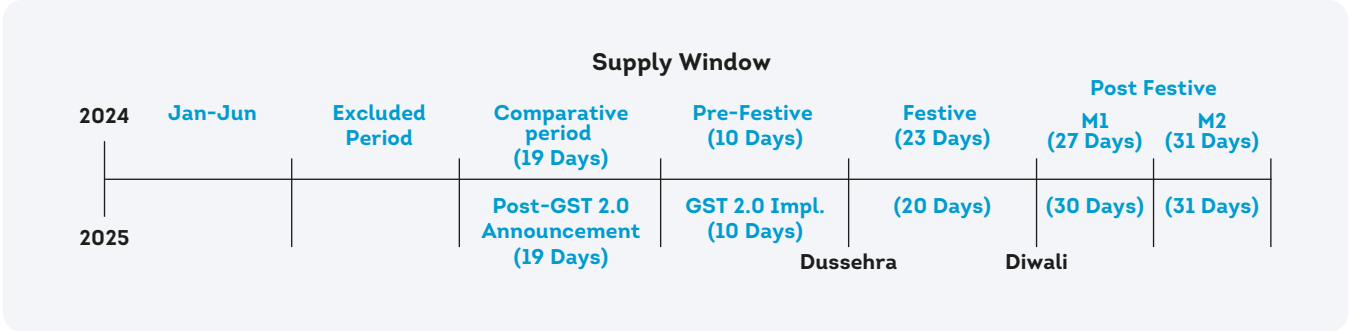
Dec 2025 CMI value is provisional and subject to revision as additional data get reported to the TransUnion CIBIL credit bureau.

Key Metric for 3M Ended Dec-25			
	PSU Banks	PVT Banks	NBFC
Accounts Disbursed (YoY)	19%	-1%	29%
Amount Disbursed (YoY)	44%	24%	64%
Outstanding Balances (YoY)	21%	16%	22%
Balance Level 90+ DPD (YoY)	-46bps	-17bps	-17bps

NBFC includes NBFC, HFC & Fintech
Sanction amount for Credit Card and Kisan Credit Card excluded from Amount disbursed

DEMAND AND SUPPLY TRENDS

Retail loan supply improved during festive period post GST 2.0 but softens afterward, with trajectory remaining similar to 2024



To create a comparative view of the festive periods in 2024 and 2025 given the GST 2.0 impact in 2025, we have defined the following time intervals:

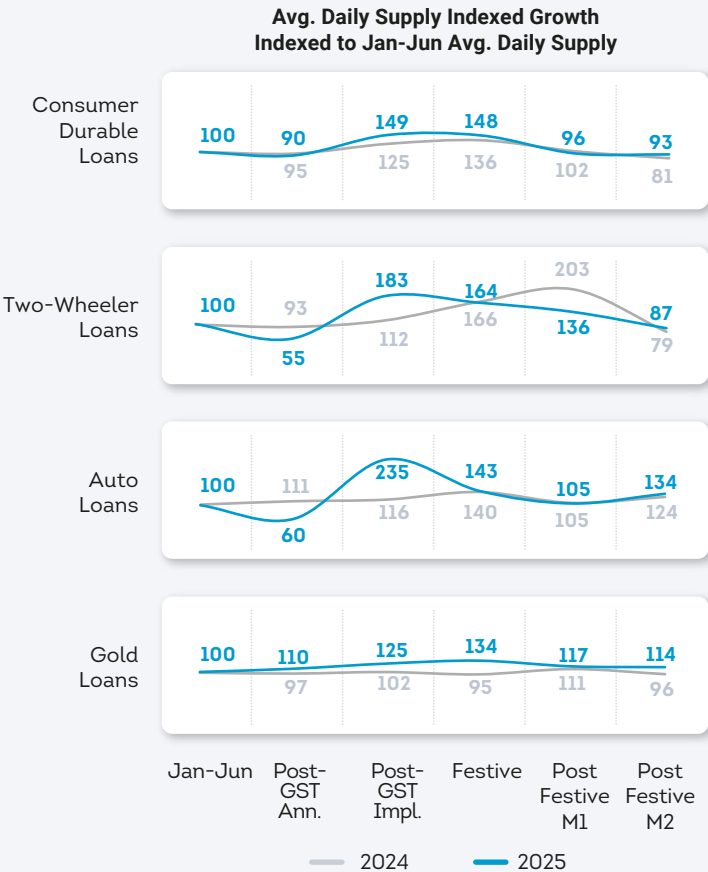
- **Jan-Jun (Starting Period):** Base comparable period, indexed to 100.
- **Post-GST 2.0 Announcement:** The period between GST 2.0 announcement to its implementation in 2025 and the comparative time period considered for 2024.
- **Post-GST 2.0 Implementation / Pre-Festive:** The period after GST 2.0 implementation in 2025, and the same timeframe in 2024.
- **Festive:** The period from Dussehra and Diwali in 2024 and 2025.
- **Post-Festive (M1 and M2):** The period after Dussehra and Diwali till the end of the respective year (2024 and 2025) further split into November (M1) and December (M2).

Retail loan supply improved during festive period post GST 2.0 but softens afterward, with trajectory remaining similar to 2024

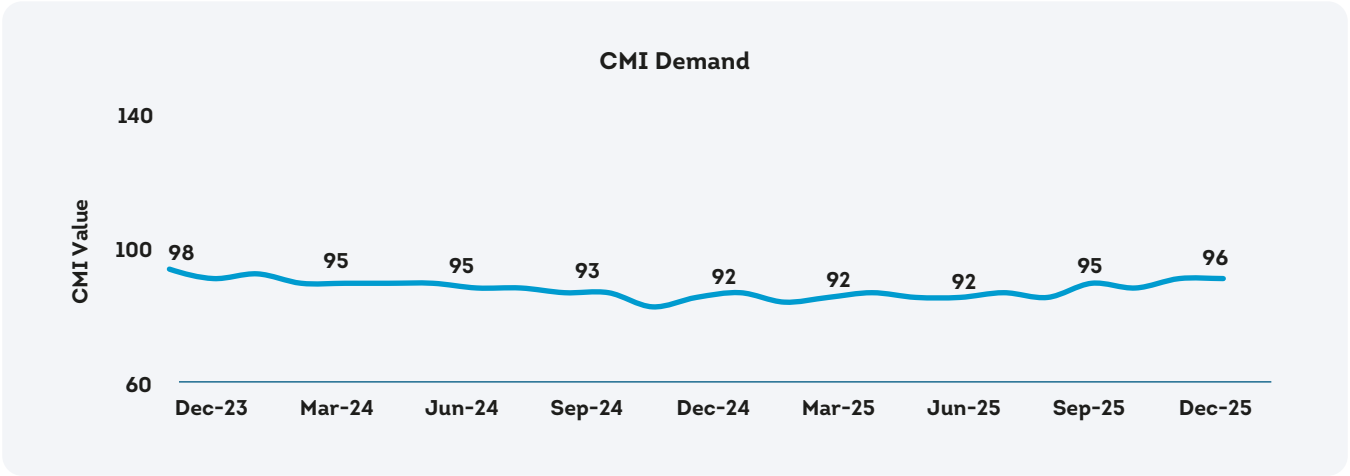
The impact of GST 2.0 on supply is visible across product lines in the days leading up to, and during, the festive period.

In the first month after the festive period, supply softens across most products in line with last year’s trend. The exception is Two-wheeler loans (TWL), which experienced stronger post festive M1 growth in 2024 than in 2025, where the increase was much higher in festive period.

By the second post-festive month, Auto Loans show a rebound consistent with last year, though the recovery is sharper this time (1.3x in 2025 vs. 1.2x in 2024). This rebound is primarily supported by higher supply in the affordable mid-segment (INR 5–10 lakh) car category. Gold Loans, meanwhile, remain stable through the post-festive period, supported by sustained increase in gold prices in recent months.



CMI for demand showed an upward trend in quarter ending December 2025 owing to higher growth coming from deeper geographies

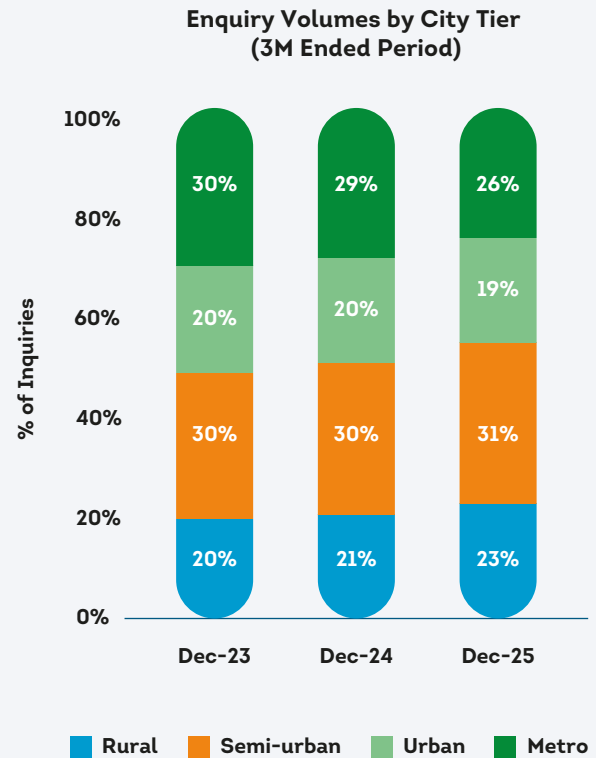
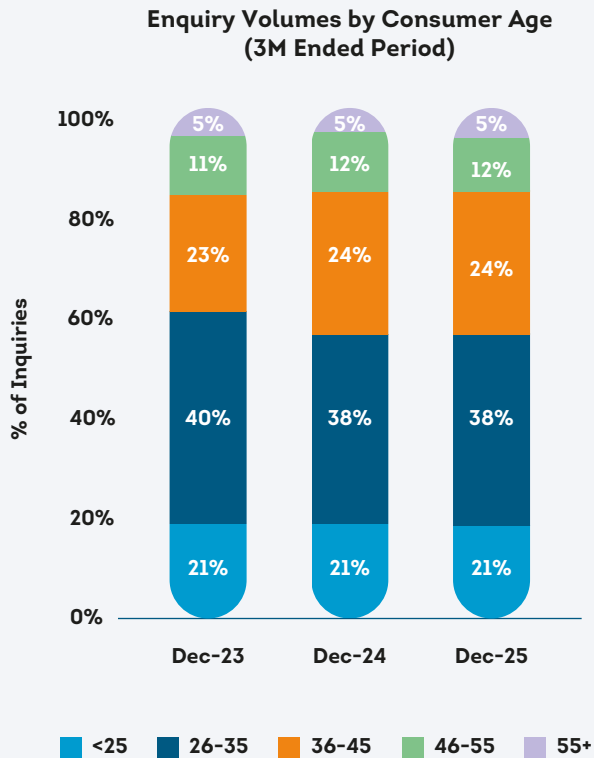


3M Ended Dec-25		
	% Share	YOY Shift
Semi-urban & Rural Consumers	54%	3%
Young Consumers	59%	-1%
New-to-Credit Consumers	15%	1%
Prime Consumers	37%	0%

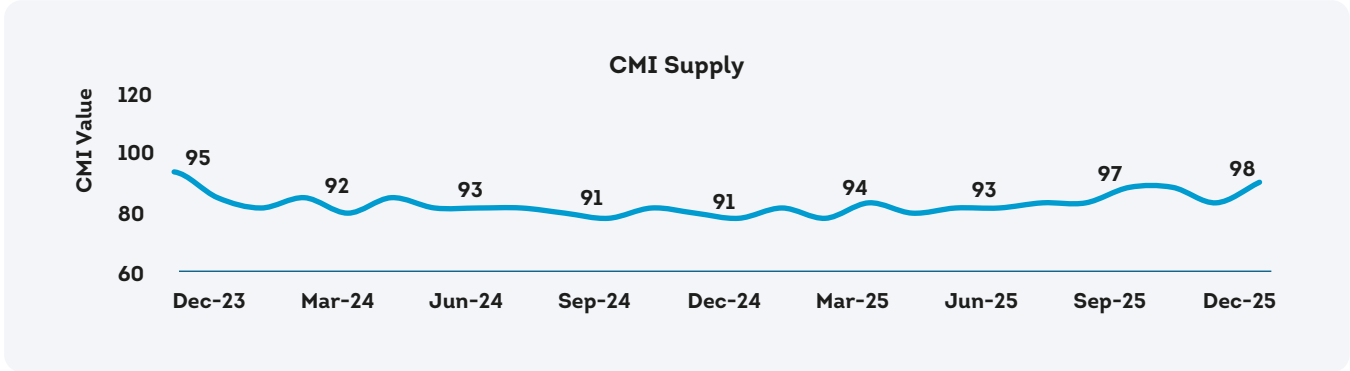
CreditVision (CV) score ranges are: Prime = 731-770; Young Consumers – Age less than 35 years

Source: TransUnion CIBIL India | 07

Credit demand continues to show consistent distribution across age segments, showing diverse needs of these consumers



CMI for supply rose in the December 2025 quarter, driven by higher originations in Gold loans both by volume and value



YoY Growth in Originations (3M Ended Dec'25)		
Product	Volume	Value
Home Loan	2%	13%
Property Loan	-1%	23%
Auto Loan	9%	8%
Two-Wheeler Loan	7%	6%
Personal Loan	15%	35%
Credit Card	-11%	-
Consumer Durable Loan	17%	10%
Gold Loan	45%	108%

Sanction amount for credit cards excluded from amount disbursed analysis. Home loans and property loans with sanction amount less than INR 2 Lakhs have been excluded.

Gold loan YoY originations growth is attributed to increase in underlying asset value in 2025

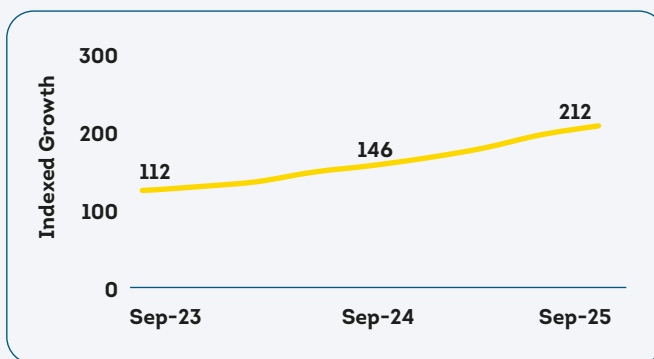
One of the critical factors driving Gold Loan growth in the December 2025 quarter is the **sharp rise in underlying asset values***, which have doubled since March 2023.

Over the same period, average ticket sizes have increased by 1.8x, indicating that as gold valuations rise, consumers are leveraging higher-value loans to meet their financing needs.

This dynamic has propelled gold loans to become the largest product by share of retail originations in volume (36%) and value (39%); and the second-largest by outstanding balances (11%) after housing.

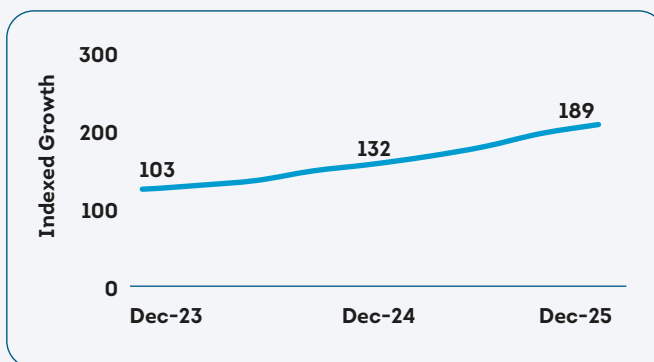
The implication is that the category's expansion is being shaped not only by demand but also by market-linked asset appreciation, making future growth sensitive to movements in gold prices.

Gold Price* (3M Ended Period Prior to Origination)



Index: Mar-23 = 100

Gold Loan Average Ticket Size (3M Ended Period)



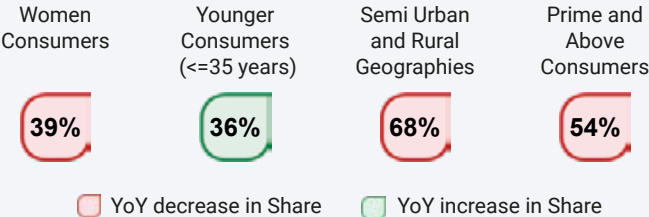
Index: Mar-23 = 100

*Average Monthly Gold Prices Source: World Bank Data

Gold loan originations growth strengthens as new regions and segments accelerate

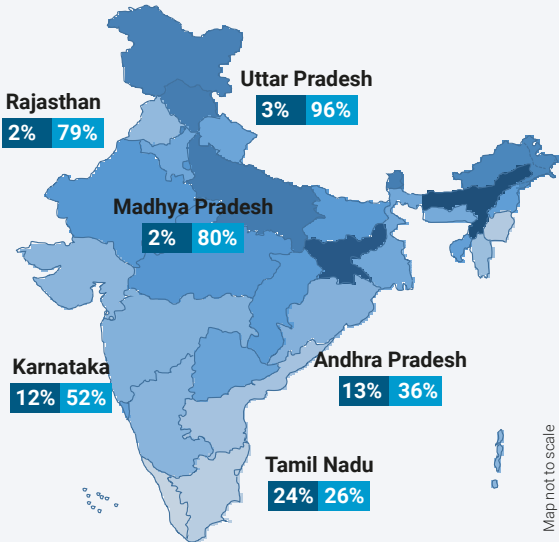
- **Geographically**, while southern states continue to dominate with more than half of all gold loan originations, western and northern states-particularly **Rajasthan, Uttar Pradesh and Madhya Pradesh** are now expanding at above-average growth rates.
- **Gold Loan Consumer Persona** -
 - Consumers are **largely 35+ years**, with a small uptick in younger consumers.
 - Majority come from **semi-urban/rural areas**; over 50% have **CV scores >730**.
 - Women make up **about 40%** of gold loan consumers.
- Gold loans are expanding beyond traditional strongholds and attracting more diverse credit profile consumers, positioning the product as a mainstream retail lending category.

Gold Loan Originations % Share of (3M Ended Dec'25)

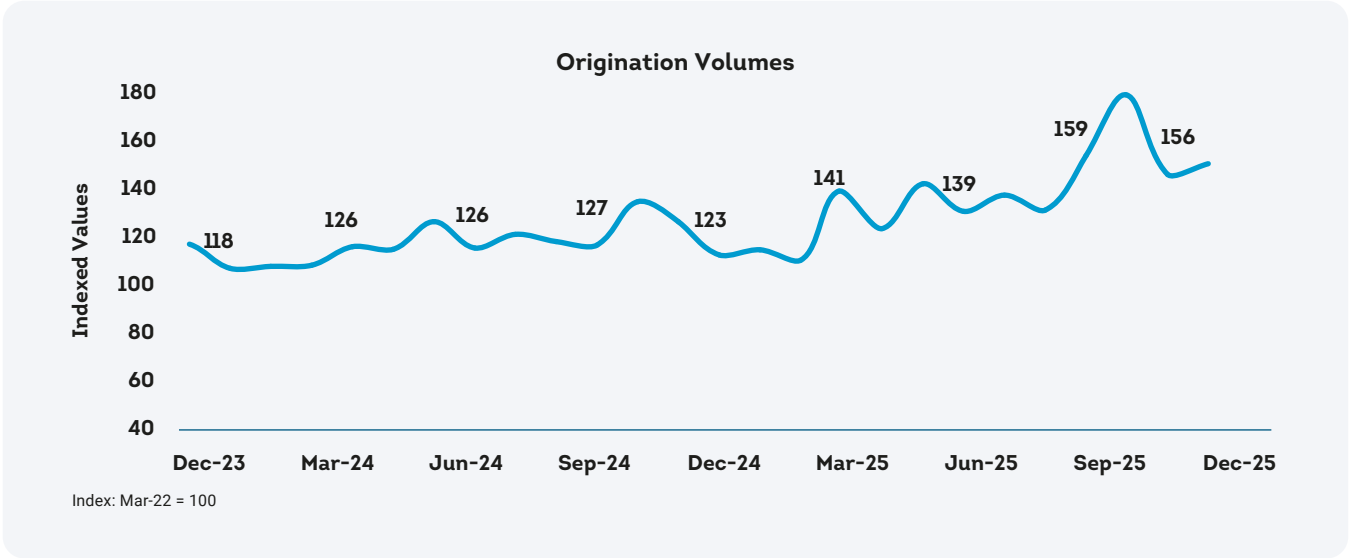


Share of Gold Loan Origination Volume (3M Ended Dec'25)

YoY Growth in Gold Loan Origination Volume (3M Ended Dec'25)



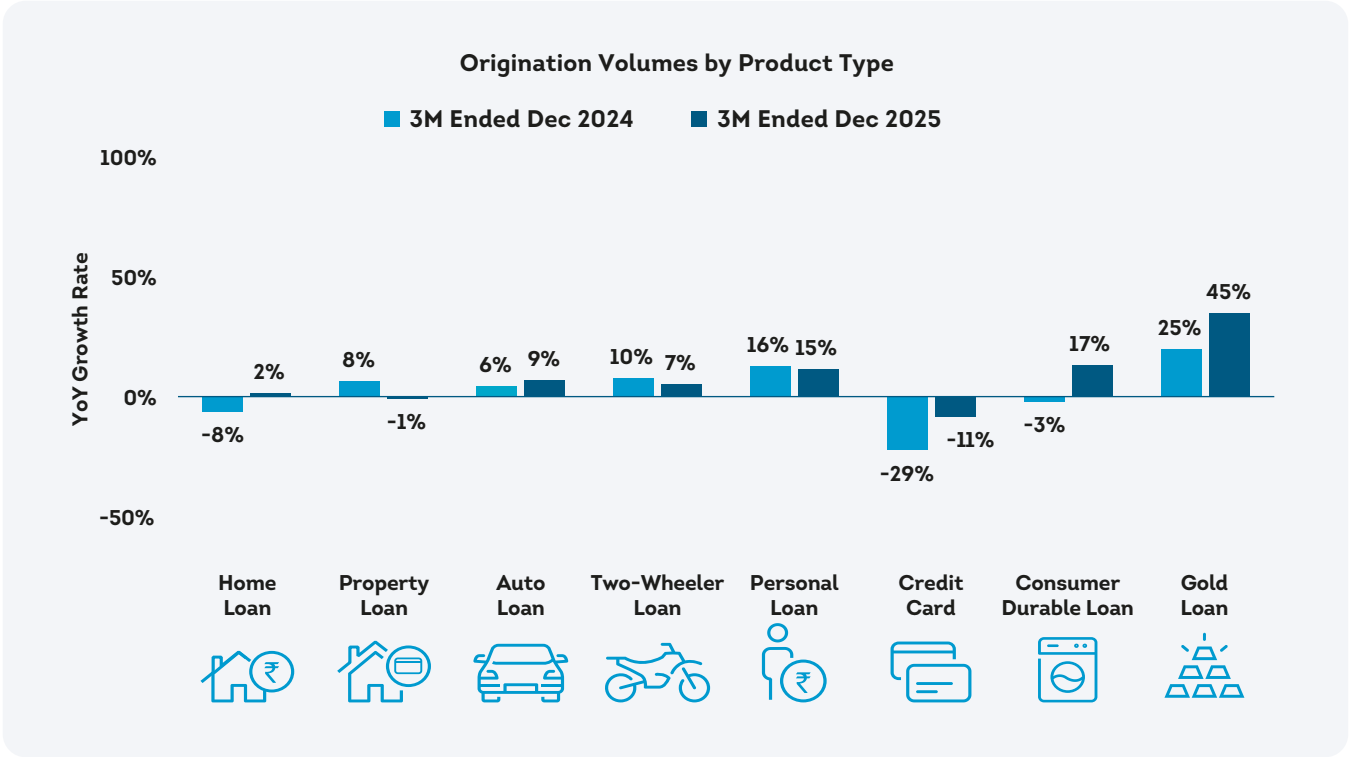
Focus continues to be on credit tested borrowers with a reduction in share of new-to-credit consumers by 2%



3M Ended Dec-25		
	% Share	YOY Shift
Semi-urban & Rural Consumers	61%	0%
Young Consumers	50%	1%
New-to-Credit Consumers	16%	-2%
Prime Consumers	36%	1%

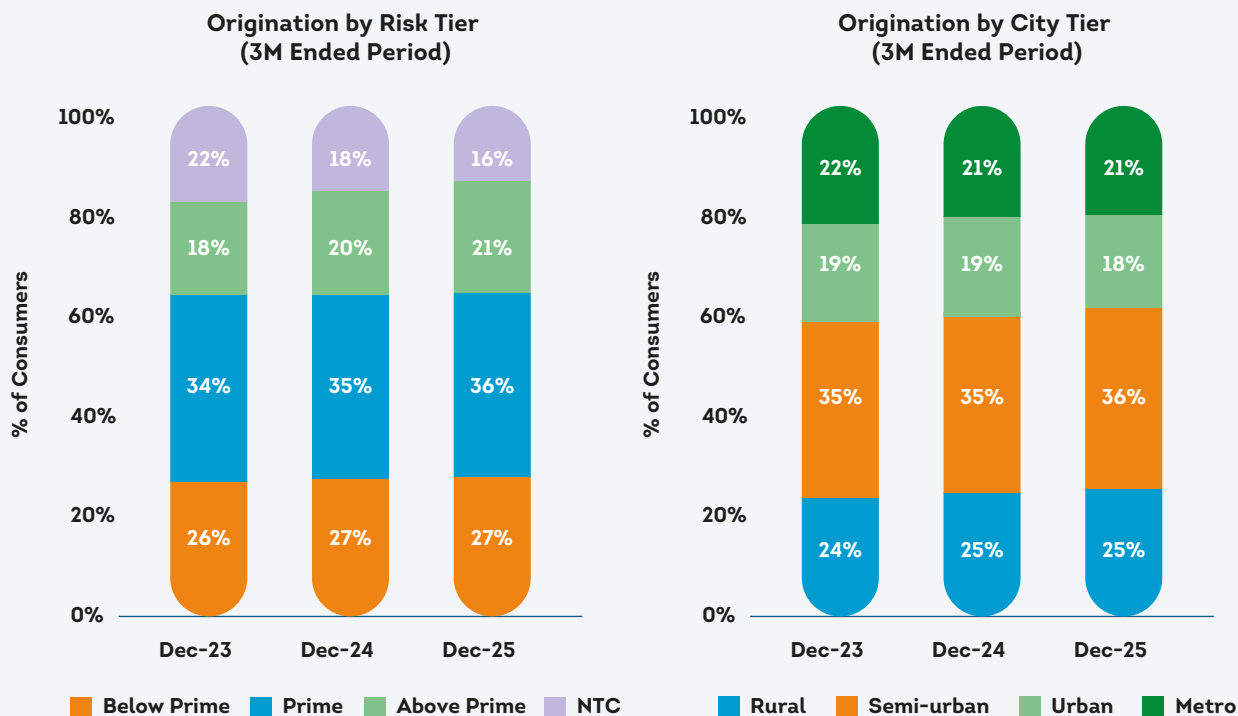
CreditVision (CV) score ranges are: Prime = 731-770; Younger Consumers – Age less than 35 years

Home Loans and Consumer Durable Loans have shown positive momentum in the December 2025 quarter, despite experiencing decline last year



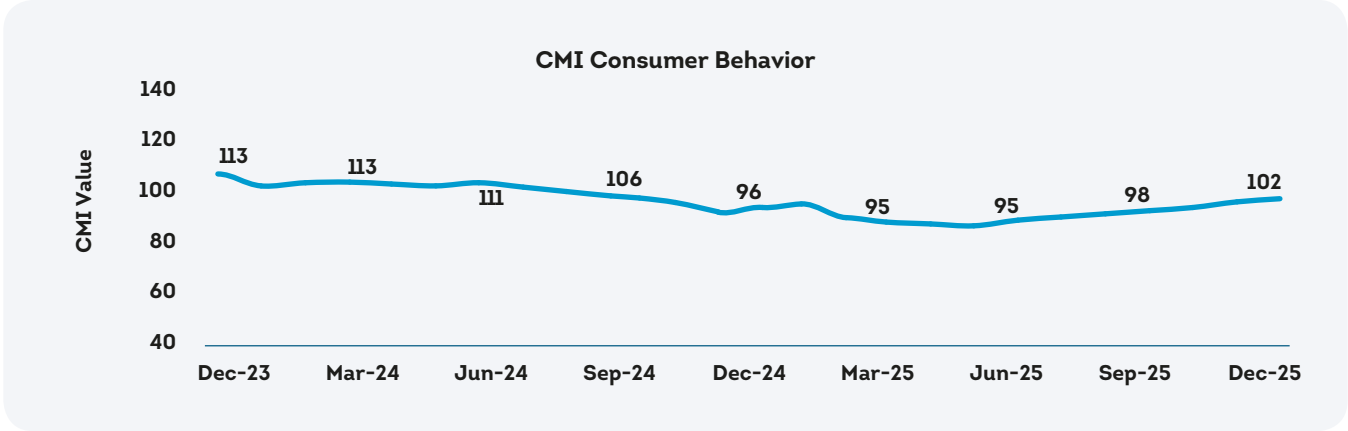
Home Loans and Property Loans with sanction amount less than INR 2 Lakhs have been excluded.

Lenders continue to focus on credit tested consumers with prime and above consumers making up 57% of all originations



CREDIT PERFORMANCE AND CHANGES IN CONSUMER BEHAVIOR

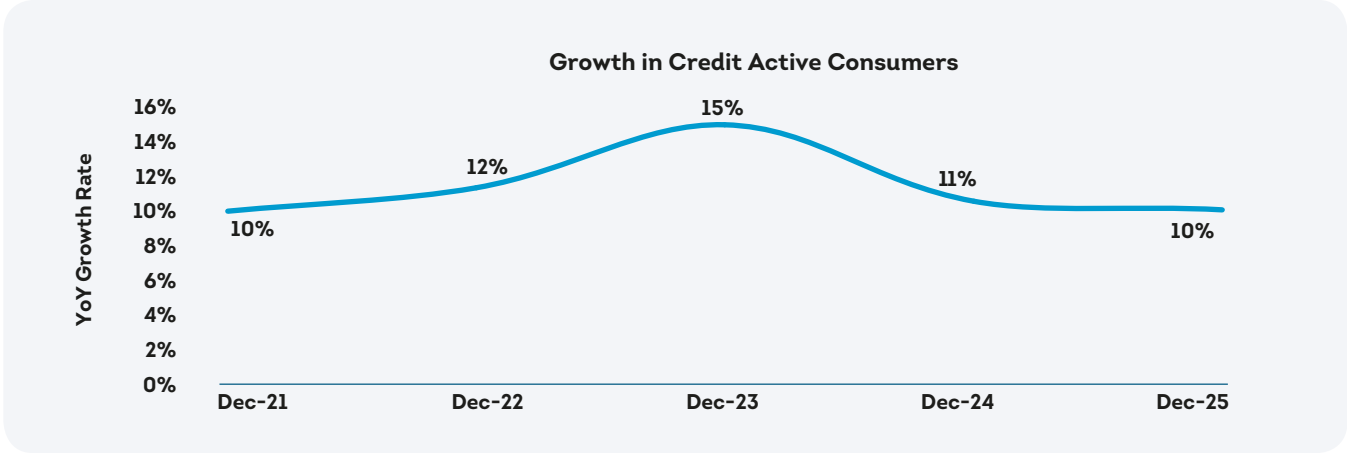
CMI for consumer behavior has seen an improvement year-on-year driven by balance growth in secured products like Gold loans and loan against property



Outstanding Balances YoY Growth

Product	Dec-25	Dec-24
Home Loan	11%	14%
Property Loan	24%	22%
Auto Loan	15%	20%
Two-Wheeler Loan	14%	19%
Personal Loan	11%	12%
Credit Card	2%	27%
Consumer Durable Loan	17%	12%
Gold Loan	43%	41%

YoY growth in credit-active consumers slowed to 10% in December 2025, resultant of lender preference of existing customers especially in Gold loan



Credit penetration is the percentage of credit active population to the total adult population

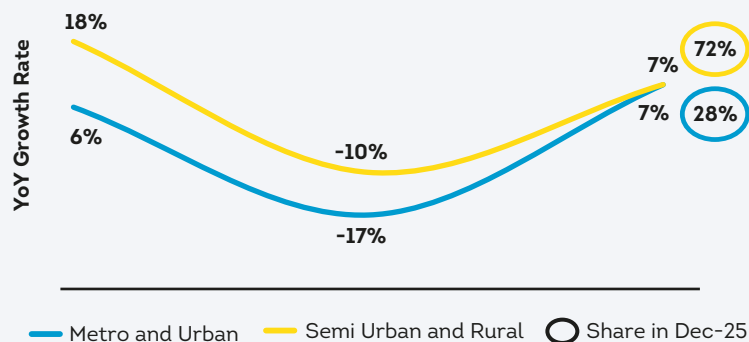
Consumers Holding Live Trades YoY Growth		
Product	Dec-25	Dec-24
Home Loan	5%	7%
Property Loan	19%	20%
Auto Loan	10%	16%
Two-Wheeler Loan	12%	16%
Personal Loan	12%	13%
Credit Card	6%	6%
Consumer Durable Loan	12%	8%
Gold Loan	7%	14%

Source for population estimate: World Bank Database

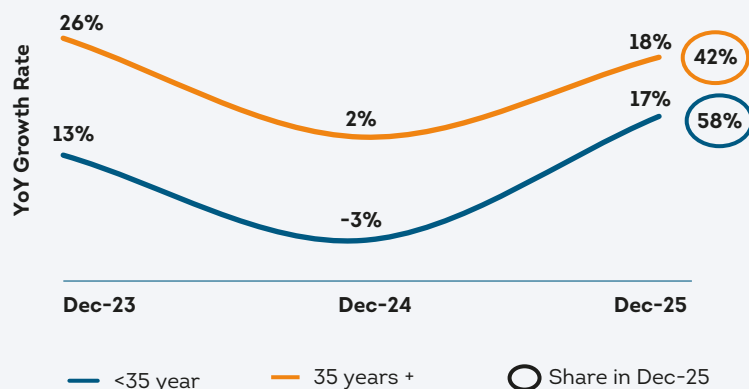
First-time-borrowers resurgence continues, led by younger consumers availing personal loans and consumer durable loans

- **First-time-Borrowers (FTB) segment grew 7% year-over-year** in the December 2025 quarter, supported by strong momentum in consumption-led credit. Personal Loans increased 20% (vs. -3% last year) and Consumer Durable Loans rose 22% (vs. -11%), with the sharpest growth in lower-ticket segments signalling rising adoption among first-time borrowers. While overall FTB growth remains below December 2023 levels, FTB participation in Consumer Durable Loans has fully recovered, reaffirming its role as a key entry product into retail credit.
- **Younger FTB segment (<35 years) has shown a strong rebound**, with YoY consumer originations improving from a decline of 3% in December 2024 to growth of 17% in December 2025. Although the 35+ segment is growing slightly faster at 18%, younger consumers form a larger share of the FTB base (58%). As a result, the resurgence in the <35 segment contributes more significantly to overall FTB growth.

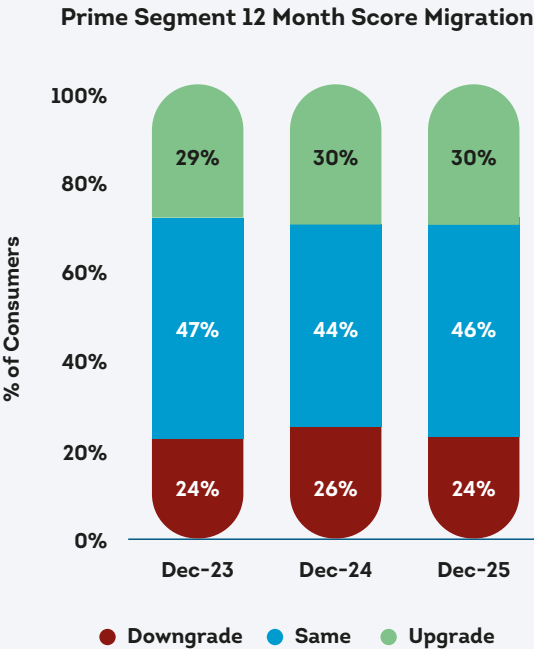
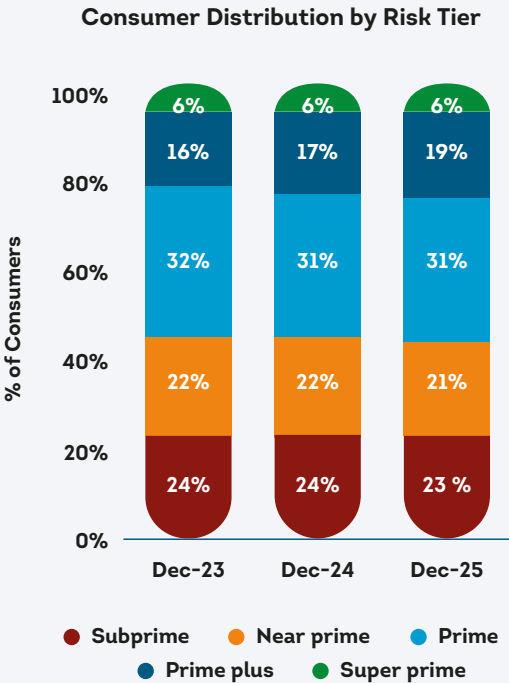
Growth in First-Time-Borrower (FTB) Segment by Tier (3M Ended Period)



Growth in First-Time-Borrower (FTB) Segment by Age (3M Ended Period)

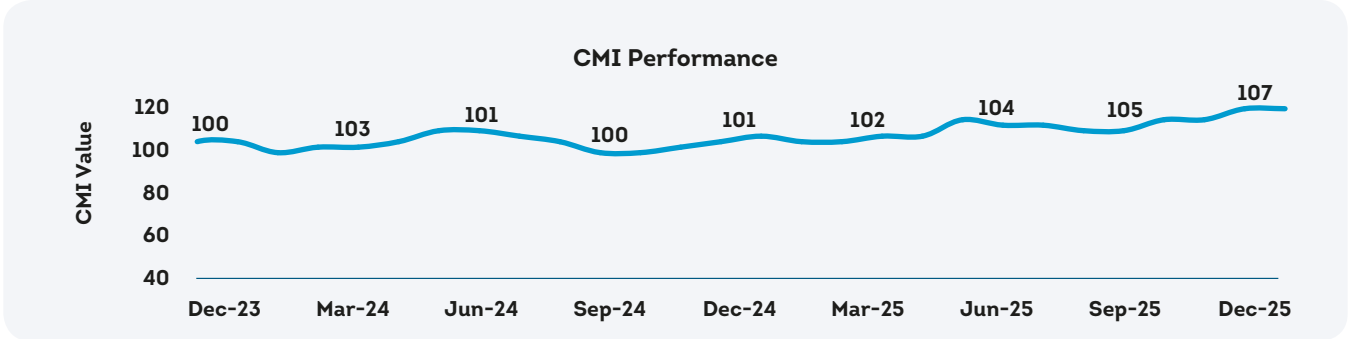


Slightly higher upgrades in the prime segment versus December 2024 indicate a moderate improvement in borrower repayment behavior



CreditVision (CV) score ranges are: Subprime = 300–680; Near prime = 681–730; Prime = 731–770; Prime plus = 771–790; Super prime = 791–900

Balance level delinquencies have improved across key product segments, leading to an increase of 6 points in CMI for performance



Higher value of performance CMI reflects better performance

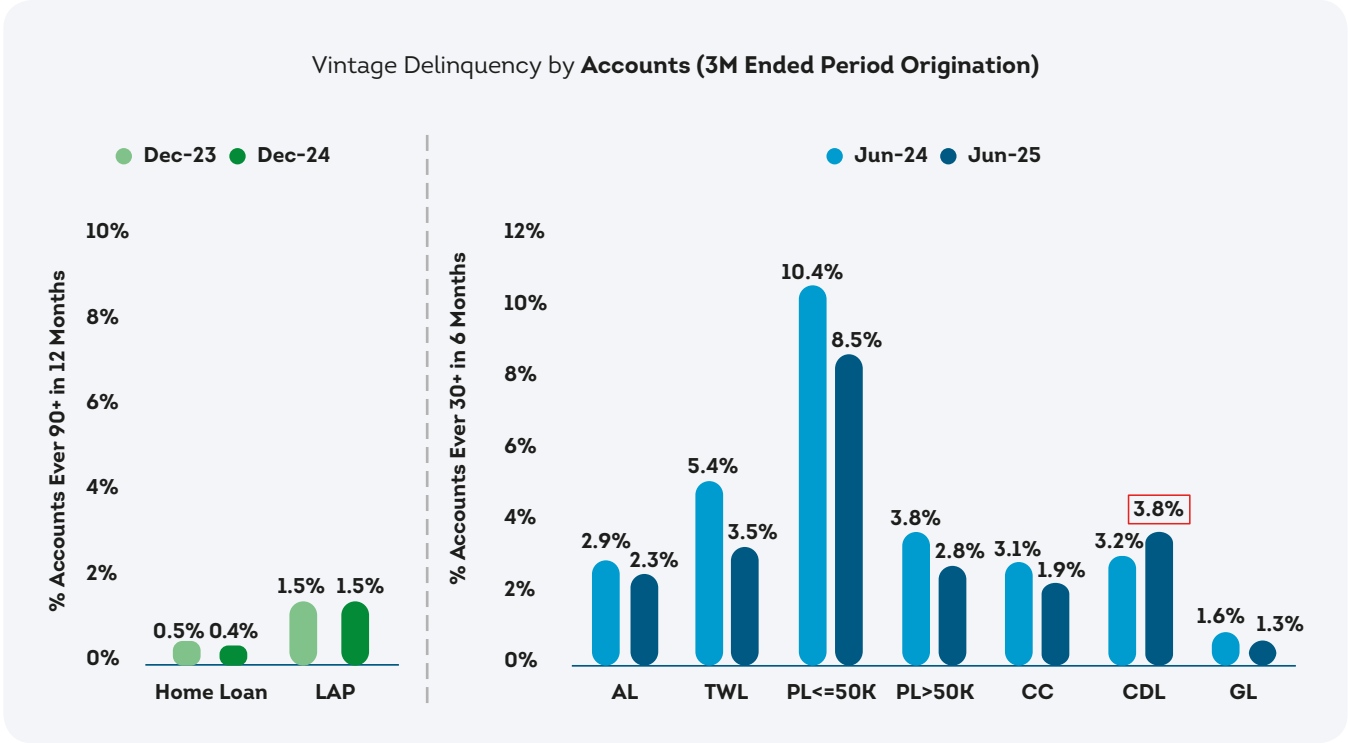
Balance-level 90+ DPD by Product (Dec-25)		
Product	90+Rate	YoY Change (Bps)
Home Loan	0.7%	-11
Property Loan	1.3%	-21
Auto Loan	0.6%	-2
Two-Wheeler Loan	1.7%	-13
Personal Loan	1.1%	-25
Credit Card	1.9%	-15
Consumer Durable Loan	1.1%	-38
Gold Loan	0.6%	-36

While property loans saw an improvement in performance, **stress continued to be noted in micro-LAP segment** where balance level 90+ delinquency increased 35 bps year-over-year, reaching 3.1% as of December 2025.

Delinquency rates are measured as percentage of balances in 90 to 719 days past due respectively for home loan, property loan; and 90 to 179 days past due respectively for other products. Excludes ARCs; micro-LAP is defined as property loans with ticket size between INR 2L-10L. Home loans and property loans with sanction amount less than INR 2 Lakhs have been excluded

Early delinquency rates for micro loan against property and consumer durable loans continue to show an uptick among recent originations

Vintage Delinquency by **Accounts (3M Ended Period Origination)**



In the micro-LAP segment early delinquencies rose 18 bps to 2.1% for the 3-month period ended December 2024 which is higher than the overall LAP early delinquencies.

Vintage delinquency is calculated as %of accounts ever 30+dps and 90+dps respectively in 6 and 12 months from origination. E.g. Origination of Jan-Mar 2025 period and performance measured in Jul-Sep 2025 period for Ever 30+ in 6 months. Micro-LAP is defined as property loans with ticket size between INR 2L-10L. Home loans and property loans with sanction amount less than INR 2 Lakhs have been excluded

Definitions and Notes

- All credit related data is sourced from TransUnion CIBIL consumer database.
- Retail lending includes all consumer lending products.
- The latest month values are subject to revision as additional data get reported to the TransUnion CIBIL credit bureau.
- Latest month Origination/disbursement values are provisional and subject to revision as additional data gets reported.
- QoQ refers to growth rate of a month in a quarter over a similar month in the previous quarter. As an example, June over March or April over January.
- Approval rate is calculated as the percentage of accounts which were opened within the next 90 days of the enquiry for home loans, commercial vehicle, construction equipment and education loans; and within the next 30 days of enquiry for all other loans. Approval Rate month is 30 – 90 days post the enquiry month.
- NBFC+ includes Non-Banking Financial Companies (NBFCs), Housing Finance Companies (HFCs) and FinTechs.
- CreditVision (CV) score ranges are: Subprime = 300–680; Near prime = 681–730; Prime = 731–770; Prime plus = 771–790; Super prime = 791-900. Grouped together, below prime consumers constitute a CV score of ≤ 730 and prime or above a CV score of ≥ 731 .
- NTC (New-to-Credit) Consumers refers to those consumers who do not have a score as of beginning of the month of the loan origination for a given calendar month. An increase in NTC% indicates higher financial inclusion.
- FTB (First-time-Borrower) refers to consumers who have taken their first ever retail credit product in that particular month or quarter.
- Delinquency rates are measured as percentage of accounts, balances in 30, 90, 180, 360 to 719 days past due respectively for home loan, property loan and agriculture loans; 30, 90 to 359 days past due for commercial vehicle loan, construction equipment loan and tractor loan; and 30, 90 to 179 days past due respectively for other products.
- Roll Back + Cure Rate (30-59 DPD bucket) is the percentage of accounts in 30-59 DPD in the previous month, which rolled back to 1-29 DPD bucket or were normalized to 0 DPD in the current month.
- Cure Rate (180-359 DPD bucket) is the percentage of accounts in 180-359 DPD in the previous month, which normalized to 0 DPD in the current month.
- Subprime to Above Subprime Consumers % is the percentage of consumers who were subprime (CV score 300-680) 12 months prior and migrated to above subprime (CV score 681-900) for that particular month. Higher percentage reflects improvement.
- Above Subprime to Subprime Consumers % is the percentage of consumers who were above subprime (CV score 681-900) 12 months prior and migrated to subprime (CV score 300-680) for that particular month. Higher percentage reflects deterioration.

Disclaimer

This report is prepared by TransUnion CIBIL Limited (TU CIBIL). This report is based on collation of information, substantially, provided by credit institutions who are members with TU CIBIL. While TU CIBIL takes reasonable care in preparing the report, TU CIBIL shall not be responsible for errors and/or omissions caused by inaccurate or inadequate information submitted to it by credit institutions. Further, TU CIBIL does not guarantee the adequacy or completeness of the information in the report and/or its suitability for any specific purpose nor is TU CIBIL responsible for any access or reliance on the report and that TU CIBIL expressly disclaims all such liability. This report is not a recommendation for rejection / denial or acceptance of any application nor any recommendation by TU CIBIL to (i) lend or not to lend; (ii) enter into or not to enter into any financial transaction with the concerned individual/entity. The user should carry out all the necessary analysis that is prudent in its opinion before making any decisions based on the Information contained in this report. The use of the report is governed by the provisions of the Credit Information Companies (Regulation) Act, 2005, the Credit Information Companies Regulations, 2006, Credit Information Companies Rules, 2006. No part of this report should be copied, circulated, published without prior approvals.



TransUnion CIBIL Limited:

19th Floor, Tower 2A-B, One World Center, Senapati Bapat Marg, Lower Parel, Mumbai, Maharashtra 400013.

© 2026 TransUnion CIBIL. All Rights Reserved.

